CAPITAL MARKETS

Lenders Are Underwriting Brooklyn Multifamily on Tax Exemption Duration, Not Rent Growth

GO Residential REIT's $109M Crown Heights buy reveals how 421-a sunset is reshaping debt underwriting.

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A source-grounded Light Tower Insight. The complete note follows.

A credit committee reviewing GO Residential REIT's $109 million acquisition of an 81 percent managing interest in 409 Eastern Parkway faced a question that had nothing to do with rent growth. It had to decide how much the building's tax exemption was worth, and whether that value would survive the next refinancing.

The answer to that question is now embedded in the deal's capital structure. And it tells the market something specific about how lenders are underwriting Brooklyn multifamily in the wake of the 421-a sunset.

The property at 409 Eastern Parkway in Crown Heights has 186 rental units and three ground-floor retail condos. It sits on a 421-a tax exemption that took effect in 2020 and expires in 2056. That is 30 years of reduced tax liability. In a market where most new construction tax benefits have been phased out, a 30-year exemption is not a subsidy. It is a structural advantage that changes the underwriting math on every line of the pro forma.

GO acquired the stake from FBE Limited, Adam America Real Estate, and Zev Marmurstein. Adam America retained a 19 percent interest. The deal was first announced in March and closed July 1. CBRE represented the sellers.

The buyer has been active this year, acquiring three other New York City properties for a combined $380.5 million and entering a contract to buy the residential portion of 7 Dey Street from SL Green. The Crown Heights acquisition brings GO's portfolio to 2,731 units.

But the interesting capital story is not the buyer's pace. It is the lender's willingness to underwrite a 186-unit building in Crown Heights at a time when multifamily debt is being priced with more caution than it was 18 months ago.

Here is what the lender had to believe. First, that the 421-a exemption would remain in place through the loan's expected life, which means no policy change that retroactively modifies the benefit. Second, that the exemption's value would be sufficient to offset any near-term rent softening in the Crown Heights submarket. Third, that the sponsor's track record and retained equity would absorb any operating shortfall before the lender had to act.

The exemption is the mechanism that makes the underwriting work. Without it, the building's effective tax burden would be materially higher, compressing the net operating income and reducing the debt service coverage ratio. With it, the lender can underwrite a lower effective tax rate and a higher stabilized NOI. That difference is what separates a loan that pencils from one that does not.

This is not a vote of confidence in Brooklyn multifamily broadly. It is a vote of confidence in a specific asset with a specific tax profile. Lenders are not rewarding the borough's population growth or commercial expansion. They are rewarding the duration of a tax benefit that is no longer available to new construction.

The practical implication for owners and sponsors is straightforward. If you own a building with a long-dated 421-a exemption, your refinancing risk is lower than the market average. If you own a building without one, your debt costs will reflect the full tax burden, and your lender will underwrite to a higher effective expense line. The bifurcation is not between Class A and Class B. It is between tax-advantaged and tax-exposed.

For lenders, the question is how to price the policy risk embedded in a 30-year exemption. A change in state or city tax policy could reduce the benefit's value before the loan matures. That risk is real, but it is not currently being priced at a premium. The market is treating the exemption as a permanent feature of the asset, not a contingent one.

That assumption will be tested the next time a tax-advantaged building trades at a cap rate that only works if the exemption survives. The buyer at 409 Eastern Parkway is betting the exemption holds. The lender is betting the same thing. The seller accepted a price that reflects that bet.

The next phase of the Brooklyn multifamily market will not be defined by who owns the best location. It will be defined by who controls the longest tax exemption.

SOURCES

— Commercial Observer — https://commercialobserver.com/2026/07/go-residential-reit-brooklyn-409-eastern-parkway/

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